or growth in earnings; they have received some good news; or we confuse a well-run company with a good investment. The same impulse leads us to avoid value stocks because the earnings or stock price has fallen, they have problems, or we think a poorly run company must be a bad investment. When we do so, we are ignoring the base case, and instead focusing on factors that are not predictive of performance. For example, Kahneman and Tversky write that a favorable view of a company's products leads us to draw favorable conclusions about its stock. If we invest in a company's stock based on our view of its products, we ignore the reliability of this type of evidence, which is low, and the accuracy of a prediction based on it, which is also low. For example, in August 2012 Apple, Inc. was regarded as an innovative company, with fantastic products, and stellar earnings growth, and it became the most valuable stock by market capitalization in history. Figure 6.1 shows a chart of Apple, Inc.'s stock price over the year following its coronation as most valuable company in history.

While it continued selling popular products, growing both revenue and income, and paying dividends, Apple, Inc.'s stock fell 45 percent from its $700 peak to well below $400. This illustrates the problem with assessments based on the favorability of our view of the company, which is not predictive, rather than basing it on measures that we know have in the past predicted returns. Had we done so, we might have observed that above $700, Apple, Inc. stock was overvalued on some measures, and overvaluation is a condition that leads to lower future returns. We might also have

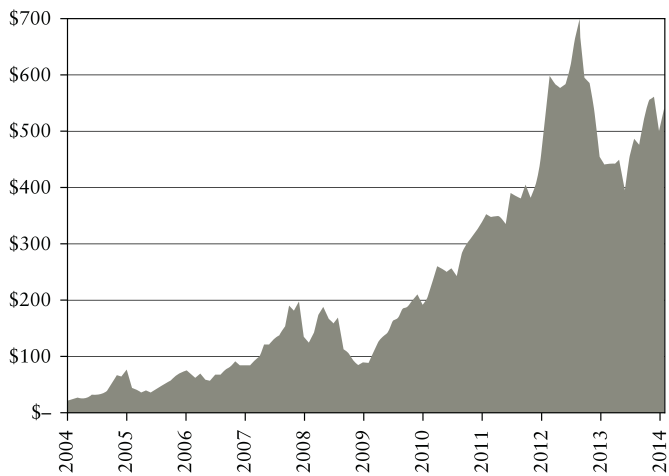

FIGURE 6.1 Apple, Inc. 10-Year Stock Price Chart
Source: Eyquem Investment Management LLC.